

RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2016

The Directors of British American Tobacco Kenya Limited are pleased to announce the unaudited results for the six months ended 30 June 2016 as shown below:

Key highlights:

Profit before tax (Shs) 3.1bn +11%	Operating margin (%) 30.2% +2.1 pp	Cash generated from operations (Shs) 4.1bn +1.5bn	Contribution to Government revenues (Shs) 9.8bn +1.9bn	Interim dividend per share (Shs) 3.50
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The extracts of the financial statements are as follows:

Condensed Statement of Comprehensive Income for the six months ended 30 June

	2016 Shs'm	2015 Shs'm
Net revenue	10,394	10,549
Total cost of operations	(7,256)	(7,582)
Operating profit	3,138	2,967
Finance costs	(70)	(194)
Profit before tax	3,068	2,773
Income tax expense	(920)	(832)
Profit after tax	2,148	1,941
Interim dividend	350	350
Basic and diluted earnings per share (Shs)	21.48	19.41

Condensed Statement of Financial Position as at 30 June

	2016 Shs'm	2015 Shs'm
Capital and reserves		
Share capital	1,000	1,000
Revaluation surplus	1,416	1,446
Retained earnings	3,985	3,722
Shareholders' funds	6,401	6,168
Non-current liabilities	3,213	3,027
	9,614	9,195
Non-current assets	8,806	8,963
Working capital		
Current assets	8,613	8,122
Current liabilities	(7,805)	(7,890)
Net working capital	808	232
	9,614	9,195

Condensed Cash Flow Statement for the six months ended 30 June

	2016 Shs'm	2015 Shs'm
Cash generated from operations	4,124	2,653
Net interest paid	(111)	(111)
Tax paid	(1,457)	(675)
Net cash from operating activities	2,556	1,867
Net cash used in investing activities	(79)	(106)
Net cash used in financing activities	(4,600)	(3,900)
Decrease in cash & cash equivalents	(2,123)	(2,139)
At the start of the period	(1,612)	(733)
At the end of the period	(3,735)	(2,872)

Condensed Statement of Changes in Equity for the period

	Share capital Shs' m	Revaluation surplus Shs' m	Retained earnings Shs' m	Total Shs' m
At 1 January 2015	1,000	1,446	5,681	8,127
Comprehensive income	-	-	1,941	1,941
Dividends	-	-	(3,900)	(3,900)
At 30 June 2015	1,000	1,446	3,722	6,168
At 1 January 2016	1,000	1,416	6,437	8,853
Comprehensive income	-	-	2,148	2,148
Dividends	-	-	(4,600)	(4,600)
At 30 June 2016	1,000	1,416	3,985	6,401

Business Performance

Net revenue reduced marginally by 1% to Shs 10.4 billion with higher domestic revenues following excise led price increases offset by lower contract manufacturing revenues. Operating profit grew by 6% reflecting the lower total cost of operations whilst operating margin improved by 2.1 percentage points to 30.2% during the period. The business continues to pursue opportunities to optimise its cost base through productivity initiatives.

Profit before tax increased by 11% to Shs 3.1 billion through higher operating profit and lower total finance costs. Cash generated from operations increased by Shs 1.5 billion reflecting the improved profit in addition to benefits of working capital management during the period.

Contribution to Government revenues in the form of Excise Duty, Value Added Tax (VAT), Pay As You Earn (PAYE) and Corporation Tax increased by Shs 1.9 billion to Shs 9.8 billion. This was driven principally by higher Excise Duty following the implementation of a new excise regime in December 2015.

The industry continues to face regulatory proposals for implementation in the second half of the year. We support regulations which are balanced, evidence-based and do not lead to unintended consequences such as stimulating illicit trade.

Dividend

The Board of Directors has recommended an interim dividend in respect of the year ending 31 December 2016 of Shs 3.50 per Shs 10 ordinary share. The interim dividend, which is subject to withholding tax, will be paid on 16 September 2016 to shareholders on the register at the close of business on 15 August 2016.